Georgette Litman, CFA, is an employee of Cooper and Grey Financial Consultants (CGFC). She has had the responsibility for several client portfolios over several years. Litman was recently promoted to a senior management position with the idea of establishing guidelines to help ensure compliance with the Chartered Financial Analyst Institute Code and Standards, and with the CFA Institute Asset Manager Code of Professional Conduct in the firm's portfolio management business. To help in this task of compliance, CGFC has hired Jack Book to help institute a set of procedures that will help CGFC achieve their goal. Book has a legal background and is a new employee at CGFC. Litman hopes that Book can help by providing a new and outside perspective to the process. Although Book is not a member of CFA Institute and has no immediate plans for joining CFA Institute and taking the Level I exam, Book brings a wealth of knowledge and experience. Understandably, Book must take some time to understand many details (e.g., the reasons for a separate conduct code for asset managers that is in addition to the CFA Institute Code of Professional Conduct).

Litman wants to know what the clients of CGFC are thinking and get their perspective on how the firm is doing. She knows that many of the employees of CGFC have close relationships with the clients, and that gifts have been exchanged on occasion. She asks Book to look into this activity. She tells Book that it is acceptable for "token" gifts of any kind (except illegal substances) to be exchanged, as long as the employees inform her of the gift. She sits down with Book to compose a list of all the recent gifts that CGFC employees have told her they have received. She says that it is a good step to finally get them written down. After they compose this list, Book is to find out if there have been gifts that Litman was not informed as being given or received.

Litman is also concerned that money laundering may be occurring through the accounts at CGFC. Book has a background in detecting money-laundering activities, and this was one of the reasons Litman suggested that CGFC hire Book. Litman asks Book to create an anti-money laundering policy to detect and help prevent CGFC from being used for that purpose and other illegal activities. Litman cautions Book that the CFA Institute Asset Manager Code of Professional Conduct prevents CGFC from providing client information to legal authorities, so Book will have to be careful in the design of the policies. Litman tells Book that, if all goes well in this area, she will see to it that Book becomes the compliance officer of CGFC. In this position, Litman says that Book will report directly to her, and she will then use this information to report directly to the CEO and board of directors.

Litman asks Book to help her draft procedures for monitoring performance and evaluating managers. She and Book compile a list of procedures that they plan to employ. Litman recommends abiding by the Global Investment Performance Standards (GIPS) and using fair

market values when determining portfolio asset values. Book insists that CGFC should use a third party for valuing asset accounts.

In addition to suggesting that an independent third party evaluate the performance of managers, Book recommends that the information disseminated to clients be reviewed by an independent third party for accuracy and completeness. Furthermore, in addition to maintaining adequate records, Book insists that CGFC develop a plan for dealing with a natural disaster or some other event that could potentially destroy the records.

## Question #1 - 6 of 21

Question ID: 1675885

With respect to establishing compliance with the CFA Institute Asset Manager Code of Professional Conduct, the fact that Book is not a member of CFA Institute is:

**A)** important and must be immediately remedied by him joining CFA Institute, but he does not have to enroll for the Level I exam.

**B)** not directly important.

**C)** important and must be immediately remedied by him enrolling for the Level I exam.

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## Question #2 - 6 of 21

Question ID: 1675886

Litman's past and future policy concerning the monitoring and control of the exchange of gifts has:

**A)** only one problem: she apparently has not prohibited cash gifts.

**B)** at least two problems: she apparently was not informed in writing and she has not prohibited cash gifts.

**C)** only one problem: she apparently was not informed in writing.

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## Question #3 - 6 of 21

Question ID: 1675887

Litman's instructions to Book concerning creating an anti-money laundering policy to detect and help prevent CGFC from being used for that purpose and other illegal activities is:

**A)** not appropriate, nor is the issue a part of the CFA Institute Asset Manager Code of Professional Conduct.

**B)** not entirely correct in that CGFC may give necessary information to legal authorities in the event of an investigation.

**C)** appropriate and correct.

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## Question #4 - 6 of 21

Question ID: 1675888

Litman's plan for making Book the compliance officer at CGFC is:

**A)** not appropriate because Book is new to the firm.

**B)** not appropriate because Book is not a member of CFA Institute.

**C)** not appropriate because in that position, Book should be the one reporting to the CEO and the board of directors.

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## Question #5 - 6 of 21

Question ID: 1675889

In drafting procedures for monitoring performance and evaluating managers, the:

**A)** suggestions by both Litman and Book are not generally accepted, nor recommended by the CFA Institute Asset Manager Code of Professional Conduct.

**B)** suggestions by both Litman and Book are generally accepted and recommended to comply with the CFA Institute Asset Manager Code of Professional Conduct.

**C)** suggestion by Litman is generally accepted, but that of Book is a violation of the CFA Institute Asset Manager Code of Professional Conduct.

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## Question #6 - 6 of 21

Question ID: 1675890

In response to Book's suggestions concerning the hiring of a third party to review information disseminated to clients and for the plan for dealing with a natural disaster, according to the CFA Institute Asset Manager Code of Professional Conduct, Litman should:

**A)** adopt the plan for dealing with a natural disaster only.

**B)** adopt both the hiring of a third party and the plan for dealing with a natural disaster.

**C)** ignore both the hiring of a third party and the plan for dealing with a natural disaster.

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Kendall Kratz is consulting for Westmoreland Financial Services (WFS). Kratz was brought in by William Westmoreland to address concerns about ethics.

WFS does not have a centralized ethics code. Rather, it has a series of rules of conduct, most of which were instituted more than 20 years ago. Westmoreland is worried that the firm's policies have not changed with the times, so he has hired Kratz to review all of the rules and bring the firm into compliance with the Asset Manager Code of Professional Conduct (the Code).

As soon as he arrives at WFS, Kratz receives a copy of all the rules of conduct for his review. Every client receives a copy of these rules. Kratz settles down in a vacant office to read them, and he writes down the following:

- IPOs are distributed to about 60% of client accounts in proportion to account size, but the remaining 40% do not receive any allocation.
- All investment policy statements are reviewed on an annual basis.
- Portfolio managers may accept any gift valued up to $2,000 provided that they notify their supervisors in writing, but they must receive written consent from the compliance officer in advance before accepting anything more expensive.
- Most stock research is done in house. About 30% of WFS clients do not own bonds, but substantially all of client brokerage pays for bond research.
- WFS employees must receive pre-authorization before buying stocks in the company's portfolio model and are not to buy stocks in advance of recommending them for addition to the portfolio model.

In a later discussion with Westmoreland, he learns that all of the firm's trades are conducted through Babel Brokerage (Babel), a business owned by Westmoreland's nephew. It is well known in the investment community that Babel provides the best pricing and execution.

After making some recommendations regarding rules changes, Kratz is given two files to consider. Westmoreland believes the firm has not acted correctly and wants Kratz's opinion.

The first file relates to the matter of Justin Yeats, a wealthy and flamboyant movie actor with more than $15 million under management at WFS. Veronica Jung, who manages the Yeats account, wrote this account of what happened:

"Yeats called me at 8:00 am, an hour before the market opened. He wanted me to purchase stock in Flimflam Films (Flimflam). He told me that the CEO of Flimflam spoke at a large fundraiser the night before and provided some enticing sales figures for the firm's latest movie.

"Yeats, who is a bit of a stock junkie, also told me to purchase shares of Blanton Resorts (Blanton). He said he recently stayed in a Blanton and found it offered amenities not found elsewhere. He then did some research, talking to the resort manager to assess his qualifications and entrepreneurial business approach, and reviewing the company's mission statement and financials. After all that, he concluded that Blanton was hiring the right people to grow the business.

"After Yeats hung up, I looked up Flimflam and discovered that the shares looked cheap. I then checked news reports, but found only one story about the fundraiser on the society page. The CEO's comments were not discussed. I also did some research on Blanton and learned that the stock's volume was low, and only one analyst covered it. The stock appeared very cheap relative to earnings and book value. I immediately recommended Blanton for addition to the portfolio model and submitted a purchase order for Blanton for all of my accounts before the market opened, knowing it would not be executed until after the stock was approved by the investment director in the afternoon.

"I bought shares of Flimflam for Yeats and then picked up a few shares for myself, but I did not buy Blanton for Yeats until the larger order was submitted, because I did not want to give Yeats preferential treatment. Later that day, the Internal Revenue Service (IRS) called to request Yeats's trading records for a tax audit. In accordance with company policy, I refused, citing privacy concerns. The IRS did not take the news well and said the agency's attorneys would be in touch. After the legal threat, I reconsidered and sent them the files."

The second file contains WFS's disclosure policy:

- All returns disclosure will be presented net of fees.
- All returns will be calculated on a quarterly basis, with monthly results available upon request.
- Any legal action taken against the analyst who manages the client account will be disclosed.
- All clients will receive a summary of our investment strategy and information about the risks of the investments in their portfolios.
- Reports will contain information about our use of soft dollars, referral fees, sales incentives, brokerage arrangements, and a breakdown of our employees' holdings of stocks in the client's portfolio.

After reading the disclosure policy, Kratz suggests that the company add four items to the disclosure policy:

1. Allocation procedures
2. Qualifications of account managers
3. Asset valuation methods
4. Proxy voting policies

## Question #7 - 12 of 21

Question ID: 1675878

Which of Kratz's suggested additions to the disclosure policy goes beyond the recommendations set down by the Code?

**A)** Recommendation 1.

**B)** Recommendation 2.

**C)** Recommendation 3.

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## Question #8 - 12 of 21

Question ID: 1675879

With regard to the Flimflam stock, the Code was:

**A)** broken when Jung purchased Flimflam for herself and when she purchased Flimflam for Yeats, but not when Yeats tipped her off about Flimflam.

**B)** not broken.

**C)** broken when Jung purchased Flimflam shares for herself, but not when she purchased the shares for Yeats or when Yeats tipped her off about Flimflam.

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## Question #9 - 12 of 21

Question ID: 1675880

With regard to Babel, WFS:

**A)** can comply with the Code only if it switches to a different brokerage.

**B)** can comply with the Code only if it receives permission from clients.

**C)** is in compliance with the Code.

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## Question #10 - 12 of 21

Question ID: 1675881

How many items on WFS's disclosure policy are insufficient to satisfy the Code?

**A)** 0 items.

**B)** 2 items.

**C)** 1 item.

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## Question #11 - 12 of 21

Question ID: 1675882

Regarding the Yeats account, Jung broke the Code:

**A)** when she recommended Blanton shares for purchase and when she failed to purchase Blanton shares for Yeats in the morning.

**B)** when she failed to purchase Blanton shares for Yeats in the morning, but not when she recommended Blanton shares for purchase.

**C)** only when she sent the trading records to the IRS.

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## Question #12 - 12 of 21

Question ID: 1675883

Which of the rules that Kratz wrote down is *most likely* in violation of the Code?

**A)** Portfolio managers may accept any gift valued up to $2,000 provided that they notify their supervisors in writing, but they must receive written consent from the compliance officer in advance before accepting anything more expensive.

**B)** IPOs are distributed to about 60% of client accounts in proportion to account size, but the remaining 40% do not receive any allocation.

**C)** Most stock research is done in house. About 30% of WFS clients do not own bonds, but substantially all of client brokerage pays for bond research.

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## Question #13 of 21

Question ID: 1675871

Which of the following *least likely* represents a purpose of the Asset Manager Code (AMC)?

**A)** Provide guidance for asset managers to provide services in a fair, professional manner, with full disclosure.

**B)** Foster a culture of ethical and professional behavior throughout the firm.

**C)** Provide a checklist for how to implement the AMC.

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## Question #14 of 21

Question ID: 1675892

Which of the following procedures relates specifically to maintaining the confidentiality of information under the Loyalty section of the Code?

**A)** Creating and implementing an anti-money laundering policy.

**B)** Maintaining records for an appropriate amount of time.

**C)** Using reasonable care and prudent judgment when managing client accounts.

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## Question #15 of 21

Question ID: 1675872

One of the purposes of a firm adopting the Asset Manager Code (AMC) is to:

**A)** demonstrate a commitment to protect the interests of investors.

**B)** increase the firm's overall profitability.

**C)** earn a higher rate of return on its clients' investments.

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## Question #16 of 21

Question ID: 1675874

Which of the following is not part of the ethical responsibilities related to the Asset Manager Code of Professional Conduct?

**A)** Communicating with clients on a regular basis.

**B)** Trading regarding insider information, priority of transactions, soft dollars, and best execution.

**C)** Acting in an independent manner.

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## Question #17 of 21

Question ID: 1675891

Establishing information barriers between departments would fall under which section of the Code?

**A)** Investment Process and Actions.

**B)** Compliance and Support.

**C)** Trading.

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## Question #18 of 21

Question ID: 1675876

Which of the following is part of the ethical responsibilities related to the Asset Manager Code?

**A)** Appointing a compliance officer.

**B)** Employing qualified staff.

**C)** Communicating with clients on a regular basis.

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## Question #19 of 21

Question ID: 1675873

Which of the following statements is *least accurate*? Adopting the Asset Manager Code benefits the firm by:

**A)** developing trust and confidence between the client and the firm.

**B)** helping investors identify firms that adhere to sound ethical practices.

**C)** bringing it into compliance with the Code of Ethics and Standards of Professional Conduct.

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## Question #20 of 21

Question ID: 1675875

Which of the following is part of the general principles of conduct related to the Asset Manager Code of Professional Conduct?

**A)** Communicating with clients in an accurate and timely manner.

**B)** Disclosing conflicts of interest.

**C)** Seeking best execution.

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## Question #21 of 21

Question ID: 1675893

Which of the following procedures is not part of the Performance and Valuation section of the Code?

**A)** Adopting the Global Investment Performance Standards (GIPS®).

**B)** Having an independent third party value client accounts.

**C)** Performing stress testing on complex derivative products.